Principles Of Accounting

Chapter 1
Basic Accounting

1 Accounting in Action

Learning Objectives

1. Identify the activities and users associated with accounting.
2. Explain the building blocks of accounting: ethics, principles, and assumptions.
3. State the accounting equation, and define its components.
4. Analyze the effects of business transactions on the accounting equation.
5. Describe the four financial statements and how they are prepared.

What is Accounting

- The process or work of keeping financial records.
- Is a systematic process of identifying , recording, measuring, classifying, verifying, summarizing, and communicating financial information.
- It reveals profit or loss for a given period , the value & nature of a firm's asset , liability & owner's equity.

LEARNING OBJECTIVE 1

Identify the activities and users associated with accounting.

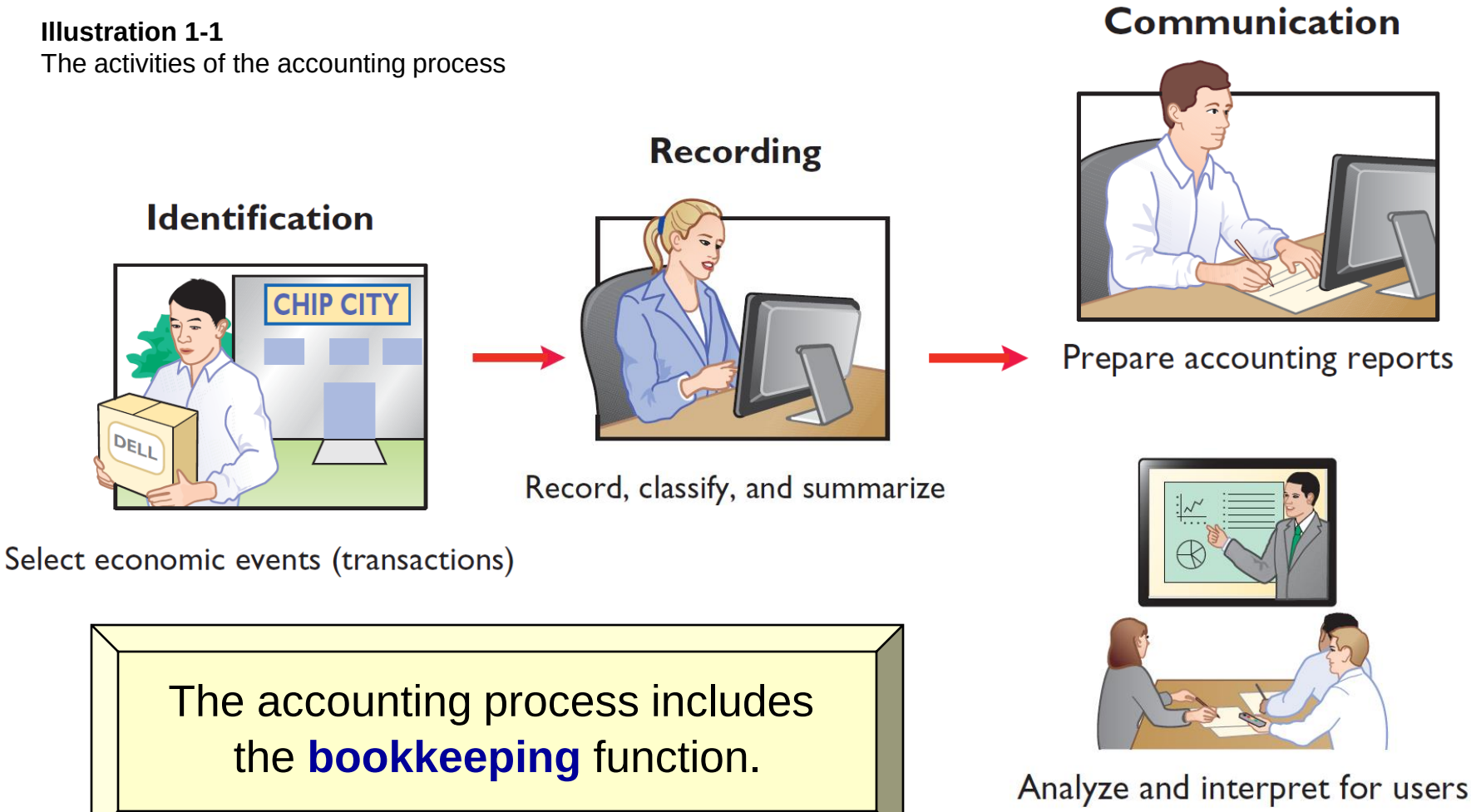
Accounting consists of three basic activities—it

- **identifies**,
- **records**, and
- **communicates**

the economic events of an organization to interested users.

Three Activities

Illustration 1-1
The activities of the accounting process



The accounting process includes the **bookkeeping** function.

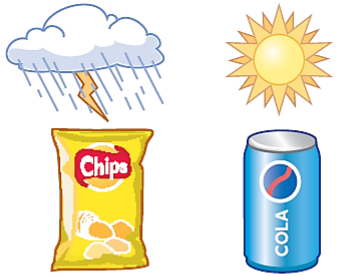
Who Uses Accounting Data

INTERNAL USERS



Marketing

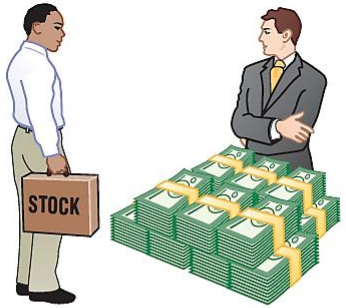
What price should Apple charge for an iPod to maximize the company's net income?



Snack chips Beverages

Management

Which PepsiCo product line is the most profitable? Should any product lines be eliminated?



Finance

Is cash sufficient to pay dividends to Microsoft stockholders?



Human Resources

Can General Motors afford to give its employees pay raises this year?

Illustration 1-2
Questions that internal users ask

LO 1

Who Uses Accounting Data

EXTERNAL USERS



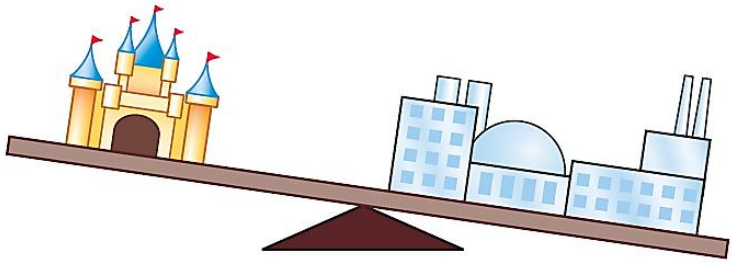
Creditors

Will United Airlines be able to pay its debts as they come due?



Investors

Is General Electric earning satisfactory income?



Investors

How does Disney compare in size and profitability with Time Warner?

Illustration 1-3
Questions that external users ask

Generally Accepted Accounting Principles

Various users need financial information



Financial Statements

- Balance Sheet
- Income Statement
- Statement of Owner's Equity
- Statement of Cash Flows
- Note Disclosure



The accounting profession has developed standards that are generally accepted and universally practiced.



Generally Accepted Accounting Principles (GAAP)

LO 2

Generally Accepted Accounting Principles

Generally Accepted Accounting Principles (GAAP) – Standards that are generally accepted and universally practiced. These standards indicate how to report economic events.

Standard-setting bodies:

- **Financial Accounting Standards Board (FASB)**
- **Securities and Exchange Commission (SEC)**
- **International Accounting Standards Board (IASB)**

International Note



Over 100 countries use International Financial Reporting Standards (called IFRS). For example, all companies in the European Union follow international standards. The differences between U.S. and international standards are not generally significant.

Measurement Principles

HISTORICAL COST PRINCIPLE (or cost principle) dictates that companies record assets at their cost.

FAIR VALUE PRINCIPLE states that assets and liabilities should be reported at fair value (the price received to sell an asset or settle a liability).

Selection of which principle to follow generally relates to trade-offs between **relevance** and **faithful representation**.

Helpful Hint
Relevance and *faithful representation* are two primary qualities that make accounting information useful for decision-making.

Assumptions

MONETARY UNIT ASSUMPTION requires that companies include in the accounting records only transaction data that can be expressed in terms of money.

ECONOMIC ENTITY ASSUMPTION requires that activities of the entity be kept separate and distinct from the activities of its owner and all other economic entities.

- **Proprietorship**
- **Partnership**
- **Corporation**

Forms of Business Ownership

Forms of Business Ownership

Proprietorship

- Owned by one person
- Owner is often manager/operator
- Owner receives any profits, suffers any losses, and is personally liable for all debts

Partnership

- Owned by two or more persons
- Often retail and service-type businesses
- Generally unlimited personal liability
- Partnership agreement

Corporation

- Ownership divided into shares of stock
- Separate legal entity organized under state corporation law
- Limited liability

Assumptions

Question

Combining the activities of Kellogg and General Mills would violate the

a. cost principle.

b. economic entity assumption.

c. monetary unit assumption.

d. ethics principle.

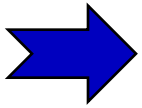
Assumptions

Question

A business organized as a separate legal entity under state law having ownership divided into shares of stock is a

a. proprietorship.

b. partnership.



c. corporation.

d. sole proprietorship.

LEARNING OBJECTIVE 3

State the accounting equation, and define its components.

Assets = **Liabilities** + **Owner's Equity**

Basic Accounting Equation

- Provides the **underlying framework** for recording and summarizing economic events.
- Assets are claimed by either creditors or owners.
- If a business is liquidated, claims of creditors must be paid before ownership claims.

Basic Accounting Equation



Assets

- Resources a business owns.
- Provide future services or benefits.
- Cash, Supplies, Equipment, etc.

LO 3

Basic Accounting Equation



Liabilities

- Claims against assets (debts and obligations).
- Creditors (party to whom money is owed).
- Accounts Payable, Notes Payable, Salaries and Wages Payable, etc.

Basic Accounting Equation



Owner's Equity

- Ownership claim on total assets.
- Referred to as residual equity.
- Investment by owners and revenues (+)
- Drawings and expenses (-).

Owner's Equity

Illustration 1-6
Expanded accounting equation

Basic Equation	Assets = Liabilities	+	Owner's Equity					
Expanded Equation	Assets = Liabilities	+	Owner's Capital	−	Owner's Drawings	+ Revenues	−	Expenses

Increases in Owner's Equity

- **Investments by owner** are the assets the owner puts into the business.
- **Revenues** result from business activities entered into for the purpose of earning income.
  - **Common sources of revenue** are: sales, fees, services, commissions, interest, dividends, royalties, and rent.

LO 3

Owner's Equity

Illustration 1-6
Expanded accounting equation

Basic Equation	Assets = Liabilities	+	Owner's Equity					
Expanded Equation	Assets = Liabilities	+	Owner's Capital	−	Owner's Drawings	+	Revenues	− Expenses

Decreases in Owner's Equity

- **Drawings** An owner may withdraw cash or other assets for personal use.
- **Expenses** are the cost of assets consumed or services used in the process of earning revenue.
  - **Common expenses** are: salaries expense, rent expense, utilities expense, tax expense, etc.

LO 3

LEARNING OBJECTIVE 4

Analyze the effects of business transactions on the accounting equation.

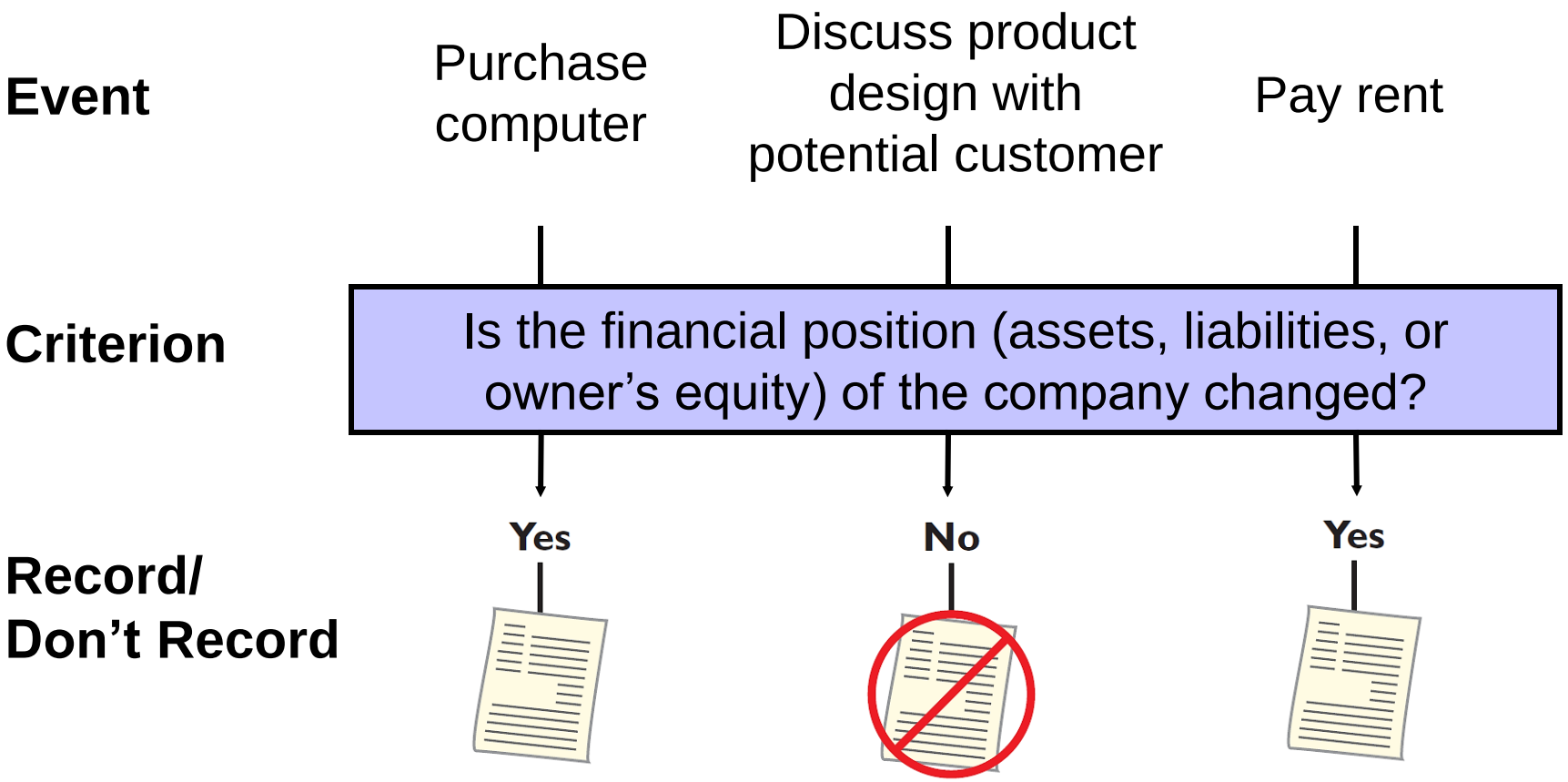
Transactions are a business's economic events recorded by accountants.

- May be **external** or **internal**.
- Not all activities represent transactions.
- Each transaction has a dual effect on the accounting equation.

Transaction Analysis

Illustration: Are the following events recorded in the accounting records?

Illustration 1-7



LO 4

Transaction Analysis

TRANSACTION 1. INVESTMENT BY OWNER Ray Neal decides to start a smartphone app development company which he names Softbyte. On September 1, 2017, he invests **$15,000 cash** in the business. This transaction results in an equal increase in assets and owner's equity.

	Assets				= Liabilities +		Owner's Equity			
Trans-action	Cash	+ Accounts Receivable	+ Supplies	+ Equipment	= Accounts Payable	+ Owner's Capital	- Owner's Drawings	+ Rev.	- Exp.	
1.	+15,000					+15,000				

Illustration 1-8
Tabular summary of Softbyte transactions

TRANSACTION 2. PURCHASE OF EQUIPMENT FOR CASH Softbyte Inc. purchases computer equipment for **$7,000 cash**.

Illustration 1-8

	Assets				= Liabilities +		Owner's Equity			
Trans-action	Cash	+ Accounts Receivable	+ Supplies	+ Equipment	= Accounts Payable	+ Owner's Capital	- Owner's Drawings	+ Rev.	- Exp.	
1.	+15,000					+15,000				
2.	-7,000			+7,000						

LO 4

TRANSACTION 3. PURCHASE OF SUPPLIES ON CREDIT Softbyte Inc. **purchases for $1,600** headsets and other accessories expected to last several months. The supplier allows Softbyte to pay this bill in October.

Illustration 1-8

	Assets				= Liabilities +		Owner's Equity			
Trans-action	Cash +	Accounts Receivable +	Supplies +	Equipment =	Accounts Payable +	Owner's Capital -	Owner's Drawings +	Rev. -	Exp.	
1.	+15,000					+15,000				
2.	-7,000			+7,000						
3.			+1,600		+1,600					

TRANSACTION 4. SERVICES PERFORMED FOR CASH Softbyte Inc. receives **$1,200 cash** from customers for app development services it has performed.

Illustration 1-8

	Assets				= Liabilities +		Owner's Equity			
Trans-action	Cash	+ Accounts Receivable	+ Supplies	+ Equipment	= Accounts Payable	+ Owner's Capital	- Owner's Drawings	+ Rev.	- Exp.	
1.	+15,000					+15,000				
2.	-7,000			+7,000						
3.			+1,600		+1,600					
4.	+1,200							+1,200		

TRANSACTION 5. PURCHASE OF ADVERTISING ON CREDIT Softbyte Inc. receives a **bill for $250** from the *Daily News* for advertising on its online website but postpones payment until a later date.

Illustration 1-8

	Assets				= Liabilities +		Owner's Equity			
Trans-action	Cash	+ Accounts Receivable	+ Supplies	+ Equipment	= Accounts Payable	+ Owner's Capital	- Owner's Drawings	+ Rev.	- Exp.	
1.	+15,000					+15,000				
2.	-7,000			+7,000						
3.			+1,600		+1,600					
4.	+1,200							+1,200		
5.					+250				-250	

TRANSACTION 6. SERVICES PERFORMED FOR CASH AND CREDIT.

Softbyte performs **$3,500 of services**. The company receives **cash of $1,500** from customers, and it bills the balance of **$2,000 on account**.

Illustration 1-8

	Assets				= Liabilities +		Owner's Equity			
Trans-action	Cash	+ Accounts Receivable	+ Supplies	+ Equipment	= Accounts Payable	+ Owner's Capital	- Owner's Drawings	+ Rev.	- Exp.	
1.	+15,000					+15,000				
2.	-7,000			+7,000						
3.			+1,600		+1,600					
4.	+1,200							+1,200		
5.					+250				-250	
6.	+1,500	+2,000						+3,500		

LO 4

TRANSACTION 7. PAYMENT OF EXPENSES Softbyte Inc. pays the following expenses in cash for September: office rent **$600**, salaries and wages of employees **$900**, and utilities **$200**.

Illustration 1-8

	Assets				= Liabilities +		Owner's Equity			
Trans-action	Cash +	Accounts Receivable +	Supplies +	Equipment =	Accounts Payable +	Owner's Capital -	Owner's Drawings +	Rev. -	Exp.	
1.	+15,000					+15,000				
2.	-7,000			+7,000						
3.			+1,600		+1,600					
4.	+1,200							+1,200		
5.					+250				-250	
6.	+1,500	+2,000						+3,500		
7.	-1,700								-600	
									-900	
									-200	

LO 4

TRANSACTION 8. PAYMENT OF ACCOUNTS PAYABLE Softbyte Inc. **pays its $250** *Daily News* bill in cash. The company previously (in Transaction 5) recorded the bill as an increase in Accounts Payable.

Illustration 1-8

	Assets				= Liabilities +		Owner's Equity			
Trans-action	Cash	+ Accounts Receivable	+ Supplies	+ Equipment	= Accounts Payable	+ Owner's Capital	- Owner's Drawings	+ Rev.	- Exp.	
1.	+15,000					+15,000				
2.	-7,000			+7,000						
3.			+1,600		+1,600					
4.	+1,200							+1,200		
5.					+250				-250	
6.	+1,500	+2,000						+3,500		
7.	-1,700								-600	
									-900	
									-200	
8.	-250				-250					

LO 4

TRANSACTION 9. RECEIPT OF CASH ON ACCOUNT Softbyte Inc. **receives $600 in cash** from customers who had been billed for services (in Transaction 6).

Illustration 1-8

	Assets				= Liabilities +		Owner's Equity			
Trans-action	Cash	+ Accounts Receivable	+ Supplies	+ Equipment	= Accounts Payable	+ Owner's Capital	- Owner's Drawings	+ Rev.	- Exp.
1.	+15,000					+15,000			
2.	-7,000			+7,000					
3.			+1,600		+1,600				
4.	+1,200							+1,200	
5.					+250				-250
6.	+1,500	+2,000						+3,500	
7.	-1,700								-600 -900 -200
8.	-250				-250				
9.	+600	-600							

LO 4

TRANSACTION 10. WITHDRAWAL OF CASH BY OWNER Ray Neal withdraws **$1,300 in cash** in cash from the business for his personal use.

Illustration 1-8

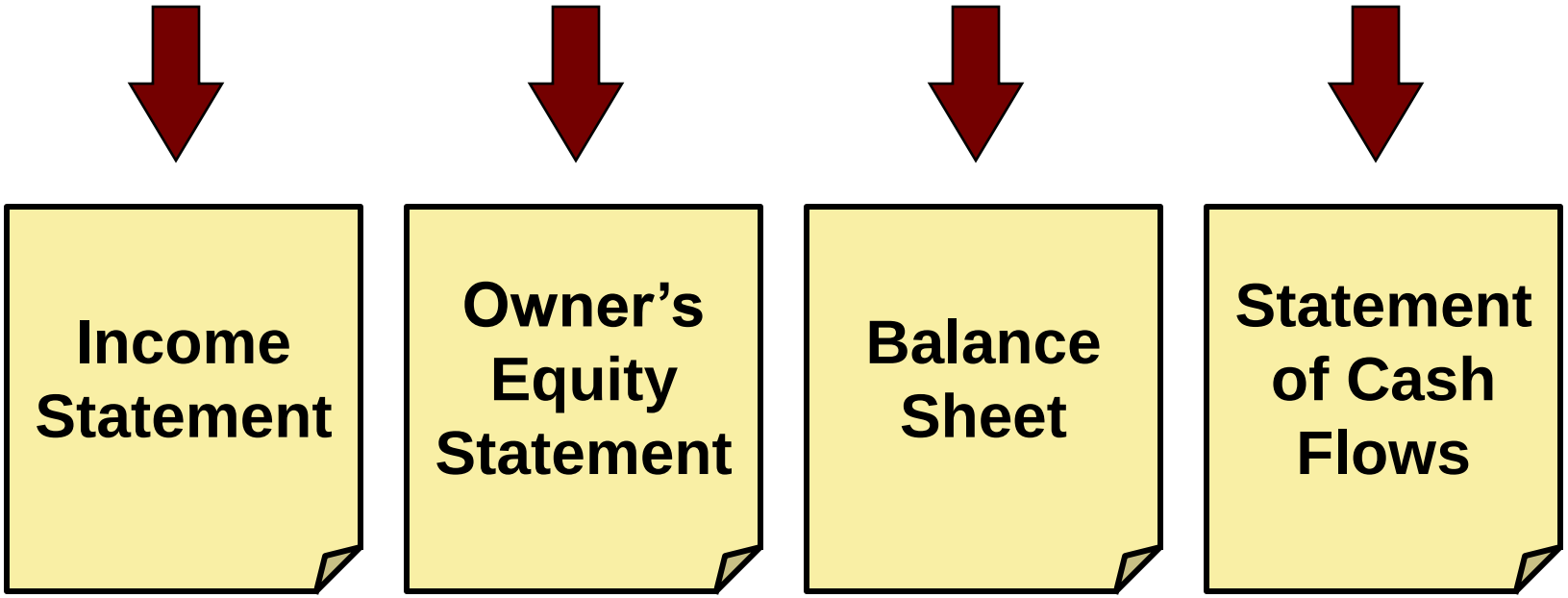
	Assets				= Liabilities +		Owner's Equity		
Trans-action	Cash +	Accounts Receivable +	Supplies +	Equipment =	Accounts Payable +	Owner's Capital -	Owner's Drawings +	Rev. -	Exp.
1.	+15,000					+15,000			
2.	-7,000			+7,000					
3.			+1,600		+1,600				
4.	+1,200							+1,200	
5.					+250				-250
6.	+1,500	+2,000						+3,500	
7.	-1,700								-600 -900 -200
8.	-250				-250				
9.	+600	-600							
10.	-1,300						-1,300		
	$18,050				$18,050				

LO 4

LEARNING OBJECTIVE 5

Describe the four financial statements and how they are prepared.

Companies prepare four financial statements :



Financial Statements

Net income is needed to determine the ending balance in owner's equity.

SOFTBYTE
Income Statement
For the Month Ended September 30, 2017

Revenues		
Service revenue		$ 4,700
Expenses		
Salaries and wages expense	$900	
Rent expense	600	
Advertising expense	250	
Utilities expense	200	
Total expenses		1,950
Net income		$ 2,750

SOFTBYTE
Owner's Equity Statement
For the Month Ended September 30, 2017

Owner's capital, September 1		$ –0–
Add: Investments	$15,000	
Net income	2,750	17,750
		17,750
Less: Drawings		1,300
Owner's capital, September 30		$16,450

1

Illustration 1-9
Financial statements and their interrelationships

LO 5

The ending balance in owner's equity is needed in preparing the balance sheet.

SOFTBYTE
Owner's Equity Statement
For the Month Ended September 30, 2017

Owner's capital, September 1		$ –0–
Add: Investments	$15,000	
Net income	2,750	17,750
		17,750
Less: Drawings		1,300
Owner's capital, September 30		$16,450

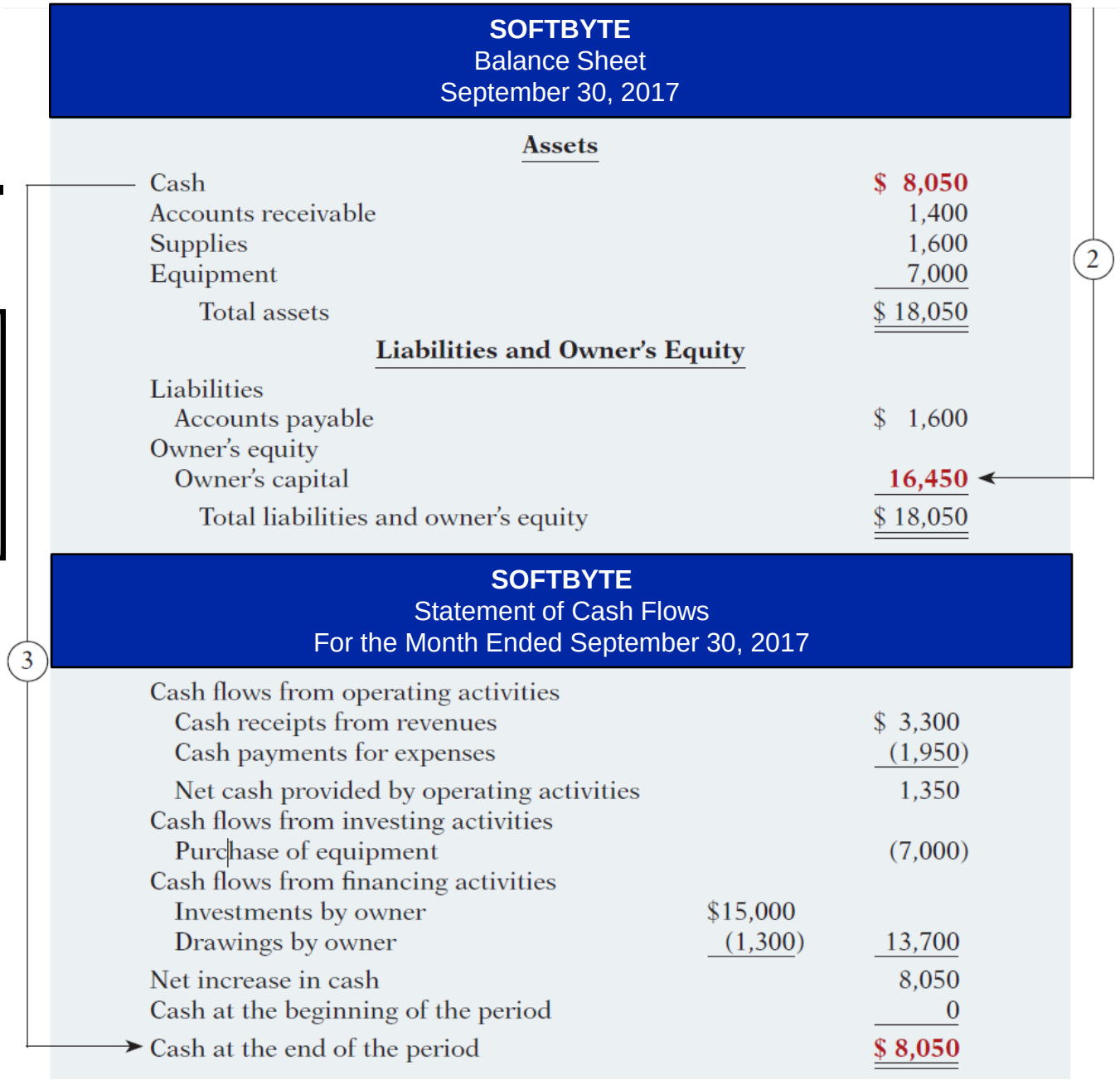
SOFTBYTE
Balance Sheet
September 30, 2017

Assets	
Cash	$ 8,050
Accounts receivable	1,400
Supplies	1,600
Equipment	7,000
Total assets	$ 18,050
Liabilities and Owner's Equity	
Liabilities	
Accounts payable	$ 1,600
Owner's equity	
Owner's capital	16,450
Total liabilities and owner's equity	$ 18,050

Illustration 1-9
Financial statements and their interrelationships

Financial Statements

Balance sheet and income statement are needed to prepare statement of cash flows.



SOFTBYTE
Balance Sheet
September 30, 2017

Assets

Cash	$ 8,050
Accounts receivable	1,400
Supplies	1,600
Equipment	7,000
Total assets	$ 18,050

Liabilities and Owner's Equity

Liabilities	
Accounts payable	$ 1,600
Owner's equity	
Owner's capital	16,450
Total liabilities and owner's equity	$ 18,050

SOFTBYTE
Statement of Cash Flows
For the Month Ended September 30, 2017

Cash flows from operating activities		
Cash receipts from revenues		$ 3,300
Cash payments for expenses		(1,950)
Net cash provided by operating activities		1,350
Cash flows from investing activities		
Purchase of equipment		(7,000)
Cash flows from financing activities		
Investments by owner	$15,000	
Drawings by owner	(1,300)	13,700
Net increase in cash		8,050
Cash at the beginning of the period		0
Cash at the end of the period		$ 8,050

Illustration 1-9
Financial statements and their interrelationships

Income Statement

- Reports the revenues and expenses for a specific period of time.
- Lists revenues first, followed by expenses.
- Shows net income (or net loss).
- Does not include investment and withdrawal transactions between the owner and the business in measuring net income.

Alternative Terminology
The income statement is sometimes referred to as the *statement of operations, earnings statement,* or *profit and loss statement.*

Owner's Equity Statement

- Reports the changes in owner's equity for a specific period of time.
- The time period is the same as that covered by the income statement.

Balance Sheet

- Reports the assets, liabilities, and owner's equity at a specific date.
- Lists assets at the top, followed by liabilities and owner’s equity.
- Total assets must equal total liabilities and owner's equity.
- Is a snapshot of the company’s financial condition at a specific moment in time (usually the month-end or year-end).

Statement of Cash Flows

- Information on the cash receipts and payments for a specific period of time.
- Answers the following:
  - Where did cash come from?
  - What was cash used for?
  - What was the change in the cash balance?

Quiz 1 :Xyz company performs the following accounting tasks during the year:

1. **Analyzing and interpreting information**
2. **Selecting economic activities relevant to the company**
3. **Measuring events in dollars and cents**
4. **Summarizing economic events**
5. **Preparing accounting reports**

Identify whether the tasks relating to either the identification , recording or communication

- **From the following lists try to identify the internal and external user:**

  Customer, store manager, SEC, suppliers, production supervisor

Quiz 1

- **Identify each of the questions as being more likely asked by an internal or external user**
  1. **Which product should we emphasize?**
  2. **Do we need to borrow in near future?**
  3. **Did the company earn a satisfactory income?**
  4. **Can we raise the salary of our employees?**
  5. **What does it cost us to manufacture each unit produced?**

What are the three basic activities of accounting , what task they do?